

IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF
SRI LANKA

In the matter of a Case Stated under Reference No.TAC/IT/044/2017 by the Tax Appeals Commission under Section 170 of the Inland Revenue Act No. 10 of 2006 read together with Section 11A of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

CA Case No: CA/TAX/03/2020

Case Stated: TAC/IT/044/2017

LOLC Finance PLC,
No. 100/1,
Sri Jayawardenapura Mawatha,
Rajagiriya.

Appellant

Vs.

The Commissioner General of Inland
Revenue,
Department of Inland Revenue,
Sir Chittampalam A. Gardiner Mawatha,
Colombo 02.

Respondent

Before:

M.C.B.S. Morais J.

&

Annalingam Premashanker J.

Counsel: Maithri Wickremasinghe, PC with Rakitha Jayathunga instructed by Sithumini Wijayarathna for the Appellant.
Chaya Sri Nammuni, DSG for the Respondent.

Written Submissions: By the Appellant – on 22.03.2021, 16.03.2026
By the Respondent – on 20.01.2022, 12.09.2023

Argued on: 03.12.2025

Decided On: 25.06.2026

JUDGMENT

M.C.B.S. Morais J.

This is an appeal by way of case stated against the determination of the Tax Appeals Commission (TAC) dated 6th of December 2019, in the case of TAC/IT/044/2017.

This appeal is filed under section 170 of the Inland Revenue Act No. 10 of 2006 (hereinafter will be referred to as ‘IRA 2006’) read together with section 11A of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

The tax in dispute is against the assessment made for the taxable period 2011/2012 and the taxable amount in issue is Rs. 231,352,627.00 with a penalty of Rs. 115,676,313.00.

FACTUAL BACKGROUND

The LOLC Finance PLC, formerly known as Lanka Orix Finance PLC (hereinafter will be referred to as the Appellant) is an unquoted public limited liability company incorporated in

Sri Lanka. The Appellant is primarily involved in leasing, hire purchase, margin trading, pawn brokering, loans, property development, mobilization of private deposits and Islamic financing.

The Appellant has submitted the return for the above taxable period claiming certain deduction and bad debts which was denied by the Assessor. Accordingly, the Assessor has issued assessment without granting those deductions and issued Notice of Assessment. The Appellant being aggrieved by the decision of the Assessor, made an appeal to the Commissioner General of Inland Revenue (hereinafter will be referred to as the Respondent). The Respondent in his determination dated 9th of January 2017 determined the appeal by reversing the assessment. The Appellant being dissatisfied with the said determination of the Respondent, made an appeal to the Tax Appeals Commission (TAC). The TAC after considering the submissions made by both parties, dismissed the appeal by the determination dated 6th of December 2019 and confirmed the determination made by the Respondent.

Being dissatisfied with the said determination, the Appellant has requested the TAC to cause a Case Stated to the Court of Appeal on the following Questions of Law.

- I. *“Has the Tax Appeals Commission erred in law in determining that the Commissioner General of Inland Revenue has not made the determination within two years, as required by section 165 (14) of the Inland Revenue Act, No. 10 of 2006?”*
- II. *Has the Tax Appeals Commission erred in law in failing to hold that the Appellant was not liable for Income Tax under Section 61 (1) (b) of the Inland Revenue Act, No. 10 of 2006 as amended?*
- III. *Has the Tax Appeals Commission erred in law in its determination of distributable profits for the purpose of Section 61(1)(b) of the Inland Revenue Act, No. 10 of 2006 as amended?*
- IV. *Has the Tax Appeals Commission erred in law in failing to determine that assets purchased by the Appellant, owned by the Appellant and leased out are capital assets*

within the meaning of the said term in the Inland Revenue Act, No. 10 of 2006 as amended including Section 61(1) (b) of the said Act?

- V. *Has the Tax Appeals Commission erred in law in failing to determine that assets purchased by the Appellant, owned by the Appellant and leased out have been treated by the CGIR as "capital assets" on which capital allowances have been claimed by the Appellant and allowed by the CGIR in calculating the Appellant's Income liable for Income Tax in terms of the Inland Revenue Act, No. 10 of 2006 as amended?*
- VI. *Has the Tax Appeals Commission erred in law in failing to appreciate that the CGIR is not permitted by law to approbate and reprobate in its treatment of assets purchased by the Appellant, owned by the Appellant and leased out as capital assets?*
- VII. *Has the Tax Appeals Commission erred in law in failing to apply the provisions of the Inland Revenue Act, No. 10 of 2006 to its determination of distributable profits for the purpose of Section 61 (1) (b) of the Inland Revenue Act, No. 10 of 2006?*
- VIII. *Has the Tax Appeals Commission erred in law in determining that the cost of assets purchased by the Appellant, owned by the Appellant and leased out are not "the Cost incurred in the acquisition of any land or any capital assets" and therefore not deductible in calculating "distributable Profits" in terms of Section 61(1) (b) of the Inland Revenue Act, No. 10 of 2006?*
- IX. *Has the Tax Appeals Commission erred in law in determining that the assets purchased by the Appellant, owned by the Appellant and leased out which is treated as a "capital asset" by the CGIR in calculating Income liable for Income Tax of the Appellant is not a "capital asset" in calculating "distributable profits" in terms of Section 61 (1) (b) of the Inland Revenue Act, No. 10 of 2006?*
- X. *Has the Tax Appeals Commission erred in law in holding that the "Appellant Company as required by Section 61 (1) (b) of the Inland Revenue Act, No. 10 of 2006, as amended by the Amendment Act, No. 10 of 2007, No. 9 of 2008 and No. 22 of 2011, has not distributed the distributable profits of the year of assessment 2010/2011 by way of dividends and has therefore become liable for income tax?"*

- XI. *Has the Tax Appeals Commission erred in law in holding that "though it has been argued on behalf of the Appellant Company that, in the leasing business, the assets purchased by leasing companies should be considered as "capital assets" and deductible in computing, distributable profits, the intention of Section 61 (1) of the Inland Revenue Act, No.10 of 2006, as amended, would be defeated if such an interpretation is to be given. Hence, we are of the view that the lease stock cannot be treated as capital assets which could be deducted, when calculating the distributable profits?"*
- XII. *Is the interpretation by the Tax Appeals Commission of Section 61 (1) (b) of the Inland Revenue Act, No. 10 of 2006 as amended contrary to both the literal and purposive interpretation of the said section?"*

ANALYSIS

The Appellant contends that it carries on a leasing business whereby it acquires assets, including motor vehicles and equipment, and provides such assets to its customers under financial lease arrangements. Under these arrangements, the customer is entitled to use the asset for an agreed period, during which the Appellant derives income by way of lease rentals payable by the customer.

It is the position of the Respondent that the assets acquired by the Appellant for the purposes of its leasing business constitute stock-in-trade and, accordingly, that the cost incurred in acquiring such assets cannot be deducted in the computation of distributable profits under section 61(1)(b) of the Inland Revenue Act No. 10 of 2006.

The Appellant, however, contends that the assets in question are not assets held for sale in the ordinary course of trade. Rather, they are assets acquired and retained by the Appellant for the purpose of generating income through its leasing operations. Accordingly, the Appellant maintains that such assets cannot be characterised as stock-in-trade for the purposes of section 61(1)(b) of the Act.

On this basis, the Appellant has formulated the above twelve questions of law in front of this court. However, the central issue in this appeal is whether the assets purchased by the Appellant and leased to its customers, constitute capital assets for the purpose of determining distributable profits under section 61(1)(b) of the IRA 2006.

Therefore, I shall deal with the question of law I separately, and the since the rest of the questions are in relation to the application of section 61(1)(b) of the IRA 2006, I shall address the questions of Law II, III, IV, V, VI, VII, VIII, IX, X, XI, and XII together.

Question of Law I

The question of law I which has been raised by the Appellant is reproduced below;

Has the Tax Appeals Commission erred in law in determining that the Commissioner General of Inland Revenue has not made the determination within two years, as required by section 165 (14) of the Inland Revenue Act, No. 10 of 2006?

However, this court finds that the above question has not been formulated properly. Therefore, this court takes the necessary steps to formulate the said question of law I in the following manner;

Has the Tax Appeals Commission erred in law in determining that the Commissioner General of Inland Revenue has made the determination within two years, as required by section 165 (14) of the Inland Revenue Act, No. 10 of 2006?

At the hearing of the appeal before the TAC, the Appellant raised a preliminary objection on the basis that the Respondent had not issued the determination within the two-year period prescribed under Section 165(14) of the IRA 2006.

It is the Appellant's position that the appeal was submitted to the Respondent on 24th of December 2014. However, the Respondent did not acknowledge the receipt of the appeal. Instead, the appeal was acknowledged by a Deputy Commissioner, who, according to the Appellant, lacked the authority to acknowledge the appeal.

On this basis, the Appellant argues that, in the absence of a valid acknowledgment by the Respondent, Section 165(6) of the IRA 2006 deems the date of receipt of the appeal to be the date of the receipt. Accordingly, the Appellant contends that the appeal was received by the Respondent on 24th of December 2014, while the Respondent issued its determination only on 18th of January 2017.

Therefore, the Appellant submits that the determination was not made within the two-year period prescribed under Section 165(14) of the IRA 2006 and, consequently, the appeal is deemed to have been allowed.

However, the Respondent contends that Section 165(6) of the IRA 2006 merely requires that an appeal be acknowledged and does not specify the person or officer who must provide such acknowledgment. Accordingly, the Respondent argues that the letter titled Form I.R. 131 A.P.L.1, dated 19th of January 2015 and issued by a Deputy Commissioner S. Jayasinghe, constitutes a valid acknowledgment of the appeal.

The Respondent further submits that the said form was issued by a Deputy Commissioner of the Large Taxpayers Appeal Unit with the approval of the Respondent and the Senior Commissioner and, therefore, amounts to a sufficient acknowledgment of the appeal for the purposes of Section 165(6) of the IRA 2006.

In consideration of the foregoing, the TAC in its determination has held as follows;

“As referred to above, sending of the I.R.131 A.P.L.1 form is sufficient acknowledgement of the appeal. Further, it would appear that this procedure has been accepted by the tax payers as sufficient acknowledgement of their appeals. With regard to this matter, it is to be mentioned that, in the case of Lanka Ashok Leyland PLC. Vs the Commissioner General of Inland Revenue, Case No. CA/TAX/14/2017, Tax Appeals Commission Case No. TAC/IT/016/2015, decided on 14.12.2018, the Court of Appeal with regard to the acknowledgement of the appeal stated as follows;

.....

Therefore, it is to be observed that, the letter of acknowledgement has been sent to the Appellant by the Deputy Commissioner S. Jayasinghe, Large Tax Payers Appeal Unit

on 19.01.2015, within 30 days of the receipt of the appeal which was dated 24.12.2014, as required by Section 165(6) of the Inland Revenue Act. The Respondent in this case, has made his determination on 09.01.2017, and that was within two years from the date of the receipt of the appeal. Under these circumstances it is very clear is determination of the Respondent has been made within two Year as required by Section 165(14) of the Inland Revenue Act. The date 18.01.2017 that was given by the Representative for the Appellant as the date of the determination of the appeal, may have been the date on which the Appellant received the determination. Therefore, there is no merit in the preliminary objection raised by the Representative for the Appellant stating that the Respondent has not complied with Section 165(14) of the Inland Revenue Act.”

The section 165(6) of the IRA 2006, which deals with the acknowledgement of appeal made to the Respondent, reads as follows;

*“(6) The receipt of every appeal **shall be acknowledged within thirty days of its receipt** and where so acknowledged, the date of the letter of acknowledgement shall for the purpose of this section, be deemed to be the date of receipt of such appeal. **Where however the receipt of any appeal is not so acknowledged, such appeal shall be deemed to have been received by the Commissioner General on the day of which it is delivered to the Commissioner-General. ”***

Section 165(6) of the IRA 2006 provides that the receipt of an appeal shall be acknowledged within thirty days of its receipt. Where such acknowledgment is issued, the date appearing on the letter of acknowledgment is deemed to be the date of receipt of the appeal for the purposes of the section. Conversely, where the receipt of an appeal is not acknowledged within the prescribed period, the appeal is deemed to have been received by the Commissioner-General on the date on which it was delivered to him.

Accordingly, this provision creates a statutory mechanism for determining the date of receipt of an appeal, with the applicable date depending upon whether an acknowledgment has been duly issued. It is the Appellant’s position that as the appeal was not properly acknowledged under section 165(6), therefore it shall be deemed to have been received by the

Commissioner-General on 24th of December 2014 and as the appeal has been determined by the Respondent on 9th of January 2017, the determination of the Appeal was time barred under section 165(14) of the Inland Revenue Act.

It is the contention of the Respondent that the aforesaid provision does not specify the person or officer who is required to issue the acknowledgment of an appeal. This position of the Respondent cannot be agreed upon since the appeal under section is itself directed to the Commissioner-General. Therefore, any acknowledgment of such appeal must emanate from the office of the Commissioner-General, either directly or through a duly authorized officer acting on his behalf.

Section 165 is the first provision under Chapter XXIII of the Inland Revenue Act No. 10 of 2006, which governs appeals made to the Commissioner-General of Inland Revenue. Furthermore, the section does not refer to any person other than the Commissioner-General as the authority to whom such an appeal must be addressed. This is further supported by the side note to the provision itself, which is titled “Appeals to the Commissioner-General.”

It is very well observed by this court that the Commissioner-General, as the head of the Department of Inland Revenue, cannot reasonably be expected to personally discharge every duty entrusted to him under the Act. In the ordinary course of administration, he may act through officers of the Department who have been duly authorized to perform functions of an administrative or routine nature. Accordingly, where an officer has been duly authorized by the Commissioner-General, any act performed by such officer within the scope of that authority is, in law, deemed to be an act of the Commissioner-General himself.

The interpretation section to the IRA 2006 under section 217, defines the term ‘Commissioner General’ in the following manner.

“ “Commissioner-General” means the Commissioner-General of Inland Revenue appointed or deemed to be appointed under this Act, and :—

(a) in relation to any provision of this Act, includes the Senior Deputy Commissioner-General, a Deputy Commissioner General, Senior Commissioner, a Senior Commissioner and Commissioner who is specially authorized by the Commissioner-

General either generally or for some specific purpose, to act on behalf of the Commissioner General; ”

The definition of “Commissioner-General” under the Act extends beyond the person holding the office of Commissioner-General. Paragraph (a) expressly provides that, in relation to any provision of the Act, the term includes a Senior Deputy Commissioner-General, Deputy Commissioner-General, Senior Commissioner, or Commissioner who has been specially authorized by the Commissioner-General, either generally or for a specific purpose, to act on his behalf. Accordingly, the actions of the above mentioned personnel’s and any act performed by the authorized officer within the scope of that authority is deemed, for the purposes of the Act, to be an act of the Commissioner-General himself.

In the present matter, the TAC determined that the letter dated 19th of January 2015, issued by Deputy Commissioner S. Jayasinghe of the Large Taxpayers Appeal Unit, constituted a valid acknowledgment of the Appellant's appeal.

When considering the above provisions of law, it is apparent that the Commissioner General includes the Deputy Commissioner, who is named in the Act itself. Therefore, I am of the view that the acknowledgment issued by Deputy Commissioner S. Jayasinghe on 19th of January 2015 constituted a valid acknowledgment within the meaning of Section 165(6) of the IRA 2006.

In consideration of the circumstances of the case, I am of the view that the letter dated 19th of January 2015 sent by the Deputy Commissioner S. Jayasinghe is a valid acknowledgement and the Respondent has made the determination within two years, as required by section 165 (14) of the Inland Revenue Act, No. 10 of 2006. Accordingly, this court finds that the TAC has not erred in law in treating the said letter as a valid acknowledgment of the appeal.

Therefore, I answer the question of law I in the Negative.

Since the question of law I has been answered in the above manner, now I will focus on the core issue raised by the Appellant.

Questions of Law II – XII

The questions of law II – XII, deals with the same substantive matter, whether the assets purchased by the Appellant and leased to its customers, constitute capital assets for the purpose of determining distributable profits under section 61(1)(b) of the IRA 2006. Therefore, I shall discuss the questions of law II – XII together.

It is the contention of the Appellant that, in the course of carrying on its leasing business, it acquires assets such as motor vehicles and other equipment. These assets are then provided to customers under leasing agreements, pursuant to which the customers obtain the right to possess and use the assets for an agreed period, in return for the payment of periodic lease rentals to the Appellant.

The Appellant further contends that the income generated from its leasing business arises from the lease rentals paid by customers for the use of those assets. Accordingly, it is the Appellant's position that the assets remains the property of the Appellant throughout the lease period and continue to form part of its capital employed in the conduct of its leasing business.

On this basis, the Appellant and filed its return for the year of Assessment 2011/2012 on 26th of November 2012. The said assessment was rejected by the Assessor and a new assessment dated 28th of November 2014, was issued by increasing the tax liability on the Appellant on four aspects, namely;

- 1) Tax on Distributable profit
- 2) Changes in the value of Forward Contracts
- 3) Bad Debt Written Off
- 4) Provisions of bad debt

Being aggrieved by the said assessment, the Appellant lodged an appeal before the Respondent. Upon hearing the appeal, the issues relating to the taxation of the value of forward contracts, the disallowance of bad debts, and the specific provisions made for bad debts in respect of the leasing business were determined in favor of the Appellant.

It is further observed that, upon hearing the appeal, the Respondent amended the Assessor's assessment in favour of the Appellant by allowing: (i) the gain on the value of forward contracts; (ii) the bad debt write-off; and (iii) the specific provisions made for bad debts relating to the leasing business. Accordingly, the only issue that is before this Court relates to imposition of tax under Section 61(1)(b) of the Inland Revenue Act, 2006.

The Respondent in its determination dated 9th of January 2017, has accepted the Assessor's calculation of distributable profits for the following reasons;

"It is your company's argument that acquisition of leased assets can be identified as acquisition of any land on any capital asset and is deductible from the book profit in the calculation of distributable profits

My view of that the word "Capital asset" is used here to mean the accounting term rather than to denote any concept established in taxation. It is my opinion that leased assets cannot be identified as acquisition of any capital assets due to following reasons.

a) A capital asset is wished for the strengthening the profit earning power of the circulating capital, comparably for a long period, where the trading stocks are intended to create profits within a non long period. Lease out of an asset under a finance lease agreement is a providing of funds to fund seeker which is a trading activity of the company and therefore, reduce of such leased assets is recovered periodically within a shorter period of time compared to the lifetime of the capital asset. A capital asset generates profits by helping to circulate the trading stocks, but not as direct recovery of cost

b) A leased asset creates for the lessor an entitlement for future cash flow. Logically, a more right to future cash flows for a non- long period cannot be classified as a

capital asset and it is only a receivable. The cash follows are attached to the receivable account. In reality, what is happening in a finance lease situation is that a lessee is exchanging its right to use the asset for a series of payment that is appropriate consideration. It is transferring of the lessor's existing rights to use the capital asset to the lessee converting the capital nature of the asset into a circulating nature for the lessor.

c) Further, practically, the disposition of a capital asset effects an erosion of the profit deriving base of the company whereas, in case of the leased assets, disposition or termination of a leased stock does not result in such an effect.

Therefore, I determine that the Assessor's Calculation of distributable profit is correct.”

Being dissatisfied with the said determination of the Respondent, the Appellant has made an appeal to TAC. The TAC after hearing the submissions made by both parties upheld the decision of the Respondent in their determination dated 6th of December 2019. The TAC has upheld the decision of the Respondent for the reasons set out below.

“It is clear that the intention of Section 61 is to encourage the Appellant Company to declare their dividends. There is no intention to impose a tax burden on companies which are distributing their dividends. However, if a company is not declaring their dividends, to the shareholders, tax on distributional profit will be levied. The Commissioner General of Inland Revenue has to be satisfied that the relevant distributable profit has been deemed as distributed in such instances. The argument of the Representative for the Appellant was that the acquisition of the lease stock can be identified as acquisition of land or any capital asset and is deductible from the book profits in the calculation of distributable profit. However, Representative for the Respondent submitted that the lease stock cannot be identified as an acquisition of any capital asset due to the following reasons.

I. The Intention of the above provision is to encourage the distribution of dividends to develop the capital market. If the lease stock is allowed as a deduction to calculate

the relevant distributional profit which is not a part of book profit, then the distributional profits of the leasing company will decrease significantly, because the value of lease stocks is representing an amount of capital which is almost similar to a capital debt or a loan. Further, there is no addition to the book profit with regard to the capital portion of lease rentals when calculating the distributable profit. The capital recovered through the lease rentals are added in calculating the profits from the business for normal income tax purposes.

II. The words both "capital" and "asset" and the classification of assets as current assets or capital assets are used in accounting and accordingly the collective term that is "capital asset" is used in the above section to mean an accounting term rather than to denote any concept established in taxation. The adjustment in relation to capital assets is made to the book profit and not to the taxable profit. In the calculation of book profits of the Appellant, allowance for depreciation in respect of lease stock has not been deducted as it is recorded as the lease receivable (debtor) in the financial statements and not as capital assets.

III. Capital expenditure or Capital asset is made, not only once for all, but with a view to bringing into existence an asset or an advantage for the enduring benefit of a trade. Accordingly, capital asset is intended - for the strengthening the profit earning power of the circulating capital, comparable for a long period, whereas the trading stocks are intended to create profits within a short period. Leasing of an asset under a finance lease agreement is providing of funds to the fund seeker which is the trading activity of the Appellant (lessor) and, therefore, such leased stock is recognized as the trading stock of the business. Further, the Section 61 referred to above, does not intend to deduct the cost of trading stock in calculating the distributable profit.

IV. The cost of a leased stock is recovered periodically within a shorter period of time compared to the lifetime of the capital asset. A capital asset generates profits by helping to circulate the trading stocks, but not as direct recovery of cost, as it happens in the leasing business.

V. A leased stock creates for the appellant (lessor) an entitlement for future cash flow. Logically, a right to future cash flow for a non-long period cannot be classified as a capital asset and it is only a receivable.

VI. Practically, the disposition of a capital asset effects an erosion of the profit deriving base of the company whereas, in the case of leasing companies, disposition or termination of a leased-out asset does not result in such an effect. Disposal of leased out assets is only a normal and compulsory business transaction of the leasing business.

Additionally, the Representative for the Respondent, quoted the budget proposals for the year 2007 and the ruling of the Commissioner General on this matter. **In the budget proposals it was stated that, "The distributable profits for any year would in this context, be the after tax profits for that year reduced by the excess of the cost incurred in that year, on the acquisition of land or other capital assets over the depreciation charged thereon". The Commissioner Generals' ruling stated that "The assets given on finance lease by a leasing company, can be treated as capital assets of the company, if such assets form part of the fixed assets of the company". Therefore, the Representative for the Respondent submitted that, for the income tax purposes, capital portion of lease rentals are treated as gross income while allowing the capital allowances.** The total deduction to the business profit in the form of capital allowances and the total additions to the business profits in the form of capital portion of the lease rentals will be equal at the time, that is at the end of the lease period. Hence, he submitted that, lease stocks cannot be treated as capital assets to calculate the distributable profits, just because the Appellant company has claimed the cost of the lease stock without addition to the book profit.

It is to observed that the Appellant company as required in terms of Section 61 (1) (b) of the Inland Revenue Act, No. 10 of 2006, as amended by Amendment Act. No 10 of 2007, No. 9 of 2008 and No. 22 of 2011, has not distributed the distributable profits for the year of assessment 2010/2011 by way of dividends and has therefore become liable for income tax. Even though it has been argued on behalf of the Appellant Company that, in the leasing business, the assets purchased by leasing companies should be considered as "capital assets" and deductible in computing distributable

profits, the intention of Section 61 (1) of the Inland Revenue Act, No. 10 of 2006, as amended, would be defeated if such an interpretation is to be given. Hence, we are of the view that the lease stock cannot be treated as capital assets which could be deducted, when calculating the distributable profits.

In this case, we have carefully considered both the oral and written submissions of the Representatives for the Appellant and the Respondent. For the reasons stated above, we confirm the determination of the Respondent and accordingly, dismiss the appeal of the Appellant.”

The TAC has held that the lease stock cannot be treated as a capital asset for the purpose of calculating distributable profits under Section 61(1)(b) of the Inland Revenue Act. The Commission found that the purpose of the provision is to encourage the distribution of dividends, and allowing leasing companies to deduct the cost of lease stock would significantly reduce distributable profits and undermine that objective. The TAC further considered the lease stock to be part of the ordinary trading activities of a leasing company rather than an enduring asset forming part of its capital structure. It also noted that, under accounting principles, leased assets are reflected as lease receivables rather than fixed assets, and therefore do not constitute capital assets for the purpose of the section.

Accordingly, the TAC concluded that lease stock does not qualify as a capital asset for the purposes of Section 61(1)(b), and therefore its cost cannot be deducted in calculating distributable profits. Since the Appellant had not distributed the required distributable profits as dividends, the Commission upheld the determination of the Inland Revenue Department and dismissed the appeal.

The section 61 of the IRA 2006, which deals with the Income tax liability of a resident company, discusses the deductions in relation to the distributable profits in the below manner;

“(1) The income tax to which any company resident in Sri Lanka in any year of assessment shall be liable for that year of assessment, shall consist of an amount– (a) calculated on the taxable income of such company for that year of assessment at the

appropriate rate specified in the Second Schedule or Fifth Schedule to this Act, as the case may be;

b) equal to:—

(i) ten per centum of the relevant part of the aggregate amount of the gross dividends distributed by such company in that year of assessment, out of the profits for any year of assessment; and

(ii) fifteen per centum of the excess of thirty three and one third per centum of the distributable profits of such company other than a company referred to in paragraph (h) of the first proviso to paragraph (a) of subsection (1) of section 25, for the year of assessment immediately preceding that year of assessment, (hereinafter in this paragraph referred to as the “preceding year”) over the aggregate of the gross dividends distributed by such company out of such distributable profits, within a period of eighteen months immediately succeeding the commencement of such proceeding year,

(A) where such year of assessment is any year of assessment commencing prior to April 1, 2011 and the company has within such period distributed dividends less in amount than twenty five per centum; or

(B) where such year of assessment is any year of assessment commencing on or after April 1, 2011, and the company has within such period distributed dividends less in amount than ten per centum,

of the distributable profits for that preceding year:

Provided that, where the Commissioner-General is satisfied, that any company has been restrained from distributing or has set apart, the whole or any part of its distributable profits for any year of assessment in order to comply with any requirement imposed by any other written law, the whole or such part so restrained from being distributed or so set apart, shall be deemed to have been distributed, for the purposes of determining whether such company has distributed-

(A) twenty five per centum, where such year of assessment is any year of assessment commencing prior to April 1, 2011; or

(B) ten per centum, where such year of assessment is any year of assessment commencing on or after April 1, 2011,

of its distributable profits.

In this paragraph— “company” does not include any unit trust or mutual fund;

*“distributable profits” in relation to any year of assessment and to any company means, the book profits of that company for that year of assessment, **reduced by the aggregate of—***

(a) the income tax payable by that company for that year of assessment calculated in accordance with paragraph (a);

*(b) **the cost incurred by that company in that year of assessment in the acquisition of any land or any capital asset; and***

(c) any notional profit computed on the basis of a revaluation of any capital asset and included in such book profits,

increased by the aggregate of the allowance for depreciation deducted in respect of such capital asset in calculating such book profits and any notional loss computed on the basis of a revaluation of any capital asset and included in such book profits; ”

For the purposes of Section 61(1) of the IRA 2006, distributable profits are not the same as a company's taxable income. Instead, they are calculated based on the company's book profits (i.e., accounting profits shown in the financial statements), subject to certain adjustments.

The calculation begins with the company's book profits for the relevant year of assessment. From the said amount, the company must deduct: the income tax payable for that year, the cost incurred in acquiring land or other capital assets during the year, and any unrealized gains arising from the revaluation of capital assets that have been included in the book

profits. These deductions are made because such amounts do not represent profits that are readily available for distribution.

At the same time, certain amounts are added back to the book profits. These include depreciation charged on capital assets and any unrealized losses arising from the revaluation of capital assets. Such amounts are added back because they are accounting adjustments rather than actual cash outflows.

Therefore, in calculating the distributable profits of a company, the following amounts must be deducted from its book profits:

1. The income tax payable by the company for the relevant year of assessment;
2. The cost incurred by the company during that year of assessment in acquiring any land or capital asset; and
3. Any notional profit arising from the revaluation of a capital asset that has been included in the company's book profits.

The issue in the present case primarily concerns the second category of deductions, namely, the cost incurred by a company in the acquisition of land or capital assets. Accordingly, the analysis will focus on this aspect.

The deductions prescribed for ‘distributable profits’ under Section 61(1)(b) are intended to exclude amounts that do not represent profits freely available for distribution to shareholders. Based on the plain and ordinary meaning of the provision, it is clear that the cost incurred by a company during a particular year of assessment in acquiring any land or capital asset must be deducted in calculating its distributable profits. This is on the basis that the funds used to acquire such assets have been reinvested in the business and are therefore no longer available for distribution as dividends. The purpose of the deduction is to ensure that a company is not compelled to distribute profits that have been committed towards the acquisition of long-term assets necessary for the operation and growth of its business. In this way, the provision seeks to preserve the company's capital base while identifying the profits that are genuinely available for distribution to shareholders.

Accordingly, the availability of this deduction depends on whether the asset in question qualifies as a "capital asset" within the meaning of Section 61(1)(b). Although Section 61 of the IRA 2006 does not itself define the term "capital asset", the Act contains a definition elsewhere which is relevant to its interpretation.

The Respondent and the Tax Appeals Commission, in their respective determinations, have relied on various definitions of the term "capital assets". However, the term is specifically defined in section 25(7)(b) of the IRA 2006, and therefore the statutory definition ought to prevail.

Further, in the interpretation of tax legislation, the definitions expressly provided by the Act must be given effect. It is impermissible to depart from such statutory definitions and substitute foreign or artificial interpretations for terms that have been specifically defined by the legislature.

Section 27(7)(b) of IRA 2006 defines a capital asset in the following manner;

*“(b) “capital asset” in relation to a trade, business, profession or vocation means any **plant, machinery, fixture, fitting, utensils, articles or equipment**, including computer software or intangible assets other than goodwill, **used for the purpose of producing the income in such trade, business**, profession or vocation or building constructed for the purposes of such trade, business, profession or vocation;”*

As for the above provision, the capital asset, in relation to a trade, business, profession, or vocation, shall include any plant, machinery, fixture, fitting, utensil, article, equipment, computer software, or intangible asset (other than goodwill), used for the purpose of producing income from such trade, business, profession, or vocation, as well as any building constructed for such purposes.

Therefore, in determining whether the cost of a particular asset to be deducted in computing distributable profits under Section 61(1)(b), it is necessary to examine whether that asset falls within the statutory definition of a "capital asset". If the asset satisfies that definition, its acquisition cost is deductible from book profits in arriving at distributable profits. Conversely, if the asset does not constitute a capital asset, no such deduction is available.

In line with the above I would like to bring the attention to the determination of the TAC in the page 5, where it was held in the following manner;

*“In dealing with the substantive issue, the Representative for the Appellant submitted that the assets purchased by leasing companies for the purpose of the leasing business should be considered "as capital assets" in computing distributable profit. He submitted that leasing companies purchase assets and these assets are given on hiring contracts, normally for periods ranging from 3 to 7 years. The assets are continuously owned by the leasing companies, until the last leasing installment is paid by their clients. Therefore, the rental income received by the leasing company is considered as income liable for income tax. Accordingly, due to this reason, the Department of Inland Revenue has allowed the depreciation allowance on such lease assets. **Hence, the Department of Inland Revenue has confirmed and accepted the fact that, assets purchased by leasing companies for leasing business are "capital assets" for purposes of taxation.** However, in this case, the **Respondent has disputed the cost of the acquisition of such capital assets for the purposes of computation of distributable profit, as required in Section 61 (1) (b) of the Inland Revenue Act.....”***

The above passage demonstrates that both the Respondent and the TAC has accepted that the assets purchased by the Appellant for the purpose of its leasing business constitute capital assets. However, in the latter part, the Respondent illogically contends that the Appellant’s use of those capital assets in leasing transactions, and the transfer of certain rights in such assets to the lessees, transforms the nature of the assets from capital assets into circulating assets in the hands of the lessor. Consequently, the Respondent argues that, for the purposes of Section 61(1)(b) of the IRA 2006, the assets held by the Appellant should be regarded as trading stock.

This position cannot be sustained under Section 61(1)(b) of the Inland Revenue Act, 2006. The relevant consideration under that provision is whether the asset in question constitutes a capital asset of the company and whether the expenditure incurred in acquiring that asset was included for the purpose of generating distributable profits. Once it is accepted that the assets acquired by the Appellant for the purposes of its leasing business are capital assets, their

character cannot be altered merely because they are employed in the ordinary course of that business to generate income. The fact that the assets are leased to customers and that certain possessory or contractual rights are granted to lessees does not divest the Appellant of ownership, nor does it convert the assets into trading stock or circulating capital.

It is abundantly clear that leasing is the very means by which the Appellant utilizes its capital assets to earn revenue. The income generated by utilizing a capital asset does not change the inherent nature of the asset itself. If such reasoning were to be accepted, every capital asset used in a profit-making activity would lose its capital character merely because it is employed to generate income, which is contrary to established principles distinguishing fixed capital from circulating capital.

Furthermore, the Respondent's position is inherently contradictory. On one hand, the Respondent accepts that the assets acquired by the Appellant for its leasing business are capital assets for the purposes of income taxation and accordingly grants depreciation allowances in respect of such assets. On the other hand, the Respondent seeks to deny their character as capital assets for the purpose of computing distributable profits under Section 61(1)(b) of the Inland Revenue Act, 2006. There is no legal or logical basis for attributing two different characters to the same assets for these purposes.

Accordingly, I am of the view that the Respondent's attempt to recharacterize the leased assets as trading stock is inconsistent with its own treatment of those assets as capital assets for tax purposes and it is incompatible with the proper interpretation and application of Section 61(1)(b) of the Inland Revenue Act No. 10 of 2006.

For these reasons, I answer Questions of Law II to XII in the affirmative. Consequently, the Appellant is entitled, in terms of Section 61(1)(b) of the Inland Revenue Act No. 10 of 2006, to deduct the cost incurred during the relevant year of assessment in acquiring any land or capital asset for the purpose of calculating its distributable profits.

CONCLUSION

When considering the facts and the circumstances of the case, in line with the materials presented before this court, I am of the considered view that the questions of law formulated by the Appellant should be answered as set out below.

Question of law I – Negative

Question of law II – Affirmative

Question of law III – Affirmative

Question of law IV – Affirmative

Question of law V – Affirmative

Question of law VI – Affirmative

Question of law VII – Affirmative

Question of law VIII – Affirmative

Question of law IX – Affirmative

Question of law X – Affirmative

Question of law XI – Affirmative

Question of law XII – Affirmative

Accordingly, the appeal is allowed.

Since the Question of Law I is answered in the negative and the remaining Questions of Law are answered in the affirmative, the second part of the determination of the Tax Appeals Commission dated 19th of December 2019 concerning the interpretation of section 61(1)(b) of the Inland Revenue Act No. 10 of 2006 is hereby set aside.

And the Respondent's determination dated 9th of January 2017, to the extent that it disallows the aforesaid deduction, is unsustainable in law and is hereby annulled.

The Registrar is directed to serve a copy of this judgment to the Secretary of the Tax Appeals Commission for necessary action.

Judge of the Court of Appeal

Annalingam Premashanker J.

I agree

Judge of the Court of Appeal